

evidentiary facts, in order for the cross-complaint to adequately state the alter ego claim against Smith. (*Rutherford Holdings, LLC v. Plaza Del Rey* (2014) 223 Cal.App.4th 221, 235-236 [holding the alter ego allegations were sufficient where the complaint alleged that "Caswell dominated and controlled PDR; that a unity of interest and ownership existed between Caswell and PDR; that PDR was a mere shell and conduit for Caswell's affairs; that PDR was inadequately capitalized; that PDR failed to abide by the formalities of corporate existence; that Caswell used PDR assets as her own; and that recognizing the separate existence of PDR would promote injustice."].)

The demurring parties argue that the Sequoia Parties' allegations against Smith are "false" because he does not own any of the real properties, and they argue that the Sequoia Parties admitted in the cross-complaint that they violated the law by agreeing to the illegal conduct Smith was demanding. (Reply p. 8.) Neither argument accurately reflects the allegations of the cross-complaint. The Sequoia Parties allege that Smith is the owner of the entities that are the property owners, and that he is the alter ego of those entities based in part on that ownership. (X-Compl. ¶¶ 27-29.) The Sequoia Parties allege that they "refused to comply" with Smith's demands that they engage in illegal conduct which led to the termination of the parties' business relationship. (X-Compl. ¶¶ 34-36.)

The Court also rejects the demurring parties' argument that the cross-complaint fails to allege facts to support alter ego liability against Smith. The cross-complaint does far more than merely make conclusory allegations regarding Smith's alter ego status or allege Smith's ownership or control of the Fuller Cross-Defendants. (X-Compl. ¶¶ 27-38.) They allege numerous facts regarding Smith's commingling of corporate assets, use of corporate funds for his personal benefit, failure to maintain the corporate formalities and use of the Fuller Cross-Defendants as mere shells or conduits for the conduct of his individual business ventures, among other allegations. (X-Compl. ¶ 27.) They allege that (a) Smith exercised "complete control and direction" over the Fuller Cross-Defendants; (b) Smith personally directed the Sequoia Parties to engage in "illegal acts and practices" related to the tenants and pressured the Sequoia Parties to perform unlawful acts despite being informed of the applicable laws; (c) Smith's "individual acts" regarding the foregoing and in subsequently causing the termination of the business relationship between the Sequoia Parties and the Fuller Cross-Defendants is tortious and makes him individually liable; (d) Smith's conduct was intentional and willful; and (f) his personal participation in directing the unlawful acts "strips him of any protection afforded by the corporate form and renders him personally liable for the damages caused" to the Sequoia Parties. (FAC ¶¶ 29-38.) These allegations meet the requirements for alleging facts to support alter ego liability against Smith under the applicable law.

The general demurrer by Smith to the cross-complaint in its entirety for failure to state a cause of action against him is **overruled**.

9. 9:00 AM CASE NUMBER: C24-00633
CASE NAME: ELI HAZAN VS. VOLKSWAGEN GROUP OF AMERICA, INC.

FILED BY:
TENTATIVE RULING:

This hearing is continued, *sua sponte*, to October 28, 2026 at 9:00 a.m. No appearance is required at the hearing on September 9, 2026 at 9:00 a.m. Briefing is closed.

10. 9:00 AM CASE NUMBER: C24-00892

CASE NAME: LAXMI CAPITAL, LLC, A CALIFORNIA LIMITED LIABILITY COMPANY VS. MARGARET MURPHY

FOR CHARGING ORDER AGAINST DEBTOR MARGARET MARIE MURPHY'S INTEREST IN MJD DEVELOPMENT, LLC - CONTINUED FROM 4/9/25 DUE TO JUDGE'S UNAVAILABILITY. CONTINUED BY STIPULATED AGREEMENT FROM 10/29/25 TO 1/14/25.

FILED BY: LAXMI CAPITAL, LLC, A CALIFORNIA LIMITED LIABILITY COMPANY

TENTATIVE RULING:

The hearing on this motion is continued by stipulation to September 23, 2026 at 9:00 a.m. in Dept. 16. No appearance is required on September 9, 2026.

11. 9:00 AM CASE NUMBER: C24-01760

CASE NAME: ACD-TI OAKLEY LLC VS. SUMMER LAKE OWNERS ASSOCIATION

FILED BY DEFENDANT/CROSS-COMPLAINANT, SUMMER LAKE OWNERS

FILED BY: SUMMER LAKE OWNERS ASSOCIATION

TENTATIVE RULING:

Before the Court is Defendant Summer Lake Owners Association ("Defendant" or "Summer Lake")'s motion for summary judgment or in the alternative summary adjudication. The Motion is directed toward Plaintiff ACD-TI Oakley, LLC ("Plaintiff" or "ACD")'s Complaint for Nuisance, Trespass, and Contribution.

For the following reasons, the motion for summary judgment is **granted**.

Legal Standard on Summary Judgment

A motion for summary judgment is properly granted only when "all the papers submitted show that there is no triable issue as to any material fact and that the moving party is entitled to a judgment as a matter of law." (Code Civ. Proc. § 437c, subd. (c).) A defendant may bring a motion on the ground the plaintiff cannot prove one of the required elements of the case or there is a complete defense to the action. (Code Civ. Proc. § 437c, subds. (o)(1), (2) & (p)(2); *Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 849.)

To carry its initial burden when the motion is directed to the plaintiff's case rather than an affirmative defense, the defendant must present evidence that either negates an element of the plaintiff's cause of action or shows that the plaintiff does not possess, and cannot reasonably obtain, evidence necessary to establish at least one element of the cause of action. (*Aguilar*, supra, 25 Cal.4th at pp. 853-854.) Only after the defendant carries that initial burden does the burden shift to the plaintiff "to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto." (Code Civ. Proc. § 437c, subd. (p)(2).)

Courts "liberally construe the evidence in support of the party opposing summary judgment and resolve doubts concerning the evidence in favor of that party." (*Dore v. Arnold Worldwide, Inc.* (2006) 39 Cal.4th 384, 389.)

Brief Factual Background

Plaintiff purchased the undeveloped Subject Property from Bethel Island LLC in December 2018 for